# Chapter 07

**Payroll Costs:** Cost of labor + *additional costs* charged to Employers

*Additional costs:*

a. Employers are required to pay a tax for every employee
b. Pensions
c. Medical insurance
d. Employee Car and other benefits

We assume payroll costs to be 10% of salary

## Whole Example Scenario 01

Given that Technician salary: $20,000

Payroll costs: $22,000

Total Hours:

52 weeks in a year × 5 work days a week = 260 days

| Task | Days |
|---|---|
| Total Week days | 260 |
| Public Holidays | -10 |
| Annual leave | -20 |
| Sick leave | -5 |
| Unproductive time | -10 |
| | 215 days |

215 × 7 (work hours) = **1505 hours**

Worker Cost per hour = $\frac{\$22,000}{1505hrs}$ = $14.62

**Overheads** are ongoing costs associated with running a business that cannot be tied to a specific service e.g. Rent, Utilities, Depreciation

## Whole Example Scenario 02

| | Computer repair model | Cost of components | Time taken | Expected sales |
|---|---|---|---|---|
| Person 1 | Basic | $200 | 10 hrs | 200 |
| Person 2 | Advanced | $300 | 12 hrs | 100 |
| Person 3 | Professional | $400 | 15 hrs | 50 |
| | | | | 350 units |

Given that Annual overheads: $63,500

***Calculate Different types of Overhead***

**a. First Method: same overhead to each computer sold**

$\frac{\$63,500}{350\ units} = \$181.43$ overhead cost per unit

| Model | Cost per unit |
|---|---|
| Basic | $181.43 + $200 + 10 × $14.62 = **$527.63** |
| Advanced | $181.43 + $300 + 12 × $14.62 = **$651.83** |
| Professional | $181.43 + $400 + 15 × $14.62 = **$527.63** |

**b. Second Method: Overhead proportional to number of hours of labor**

1,505 hrs × 3 workers = 4515hrs

| | |
|---|---|
| overhead per hour $\frac{\$63500}{4515hrs}$ | = $14.06 |
| Worker cost per hour | = $14.62 |
| Total | $28.68 |

| Model | Cost per unit |
|---|---|
| Basic | $200 + 10 × $28.68 = **$486.80** |
| Advanced | $300 + 12 × $28.68 = **$644.16** |
| Professional | $400 + 15 × $28.68 = **$830.20** |

**C. Third Method: overhead proportional to total cost**

| Model | Total Cost for All Units |
|---|---|
| Basic | 200 units × $200 + 10 × $14.62 = **$69,240** |
| Advanced | 100 units × $300 + 12 × $14.62 = **$47,544** |
| Professional | 50 units × $400 + 15 × $14.62 = **$30,965** |
| Total | $147,749 |

Overhead rate = $\frac{\$63,500}{\$147,749} = 0.43 \sim 43\%$

| Model | Cost per unit |
|---|---|
| Basic | $346.20 × 1.43 = $495.06 |
| Advanced | $475.44 × 1.43 = $679.88 |
| Professional | $619.30 × 1.43 = $885.60 |

Yousuf Ahmed

# Chapter 08

Companies have limited money and need to decide which investment will give the best return using discounted cash flow (DCF)

**Discounted Cash Flow Analysis (DCF):** method to evaluate investment projects by discounting future cash flows to their present value.

If we put $100 in bank and interest rate is 0.03
We get $103 at end of year

$$Money\ Present\ Value = \frac{Future\ value\ of\ money}{(1 + interest\ rate)^{year}}$$

$$Discount\ factor\ = \frac{1}{(1 + interest\ rate)^{year}}$$

**Discount factor:** a multiplier used to convert future cash flows into present values adjusting for time value of money. Applied in DCF analysis
We assume cash flows take place at start of each period so discount factor for year 0 is 1

**Net Present Value (NPV):** The sum of the present values of all cash flows associated with a project (both inflows and outflows).
Money spent now produces monetary benefits in future, we need to ask what is their present value. To do this we calculate net cash flows that project would generate over each year of its life and convert these to a present day value. We add these up to get NPV of the project

**Inflation:** fall in value of money
If inflation rate = 5%, chips that costs $100 today will cost $105 next year

$$Adjusted\ Cash\ flow\ = \frac{Nominal\ Cash\ Flow}{(1 + inflation\ rate)^{year}}$$

$$Net\ present\ Value = \frac{Adjusted\ Cash\ Flow}{(1 + discount\ factor)^{year}}$$

Discounted Cash Flow question:
Initial investment: $50,000 .
Expected to generate cash flow over next 5 years
Interest rate = 8%

Year 1: $12,000
Year 2: $15,000
Year 3: $20,000
Year 4: $18,000
Year 5: $10,000

Now we calculate the present value of each cash flow:

1. Year 1:
$$PV_1 = \frac{12,000}{(1+0.08)^1} = \frac{12,000}{1.08} = 11,111.11$$
2. Year 2:
$$PV_2 = \frac{15,000}{(1+0.08)^2} = \frac{15,000}{1.1664} = 12,857.65$$
3. Year 3:
$$PV_3 = \frac{20,000}{(1+0.08)^3} = \frac{20,000}{1.259712} = 15,873.01$$
4. Year 4:
$$PV_4 = \frac{18,000}{(1+0.08)^4} = \frac{18,000}{1.360488} = 13,241.18$$
5. Year 5:
$$PV_5 = \frac{10,000}{(1+0.08)^5} = \frac{10,000}{1.469328} = 6,805.13$$

$$\text{Total PV} = PV_1 + PV_2 + PV_3 + PV_4 + PV_5$$
$$\text{Total PV} = 11,111.11 + 12,857.65 + 15,873.01 + 13,241.18 + 6,805.13 = 59,088.08$$
$$NPV = \text{Total PV} - \text{Initial Investment}$$
$$NPV = 59,088.08 - 50,000 = 9,088.08$$

Since the NPV is positive ($9,088.08), the company should proceed with the investment as it is expected to generate more cash than it costs, reflecting a profitable opportunity.

1. Year 1:
$$\text{Real CF}_1 = \frac{12,000}{(1+0.03)^1} = \frac{12,000}{1.03} \approx 11,650.49$$
2. Year 2:
$$\text{Real CF}_2 = \frac{15,000}{(1+0.03)^2} = \frac{15,000}{1.0609} \approx 14,157.59$$
3. Year 3:
$$\text{Real CF}_3 = \frac{20,000}{(1+0.03)^3} = \frac{20,000}{1.092727} \approx 18,299.25$$
4. Year 4:
$$\text{Real CF}_4 = \frac{18,000}{(1+0.03)^4} = \frac{18,000}{1.125509} \approx 16,007.08$$
5. Year 5:
$$\text{Real CF}_5 = \frac{10,000}{(1+0.03)^5} = \frac{10,000}{1.159274} \approx 8,632.69$$

$r = 0.08$

1. Year 1:
$$PV_1 = \frac{11,650.49}{(1+0.08)^1} = \frac{11,650.49}{1.08} \approx 10,795.52$$
2. Year 2:
$$PV_2 = \frac{14,157.59}{(1+0.08)^2} = \frac{14,157.59}{1.1664} \approx 12,114.79$$
3. Year 3:
$$PV_3 = \frac{18,299.25}{(1+0.08)^3} = \frac{18,299.25}{1.259712} \approx 14,529.66$$
4. Year 4:
$$PV_4 = \frac{16,007.08}{(1+0.08)^4} = \frac{16,007.08}{1.360488} \approx 11,769.33$$
5. Year 5:
$$PV_5 = \frac{8,632.69}{(1+0.08)^5} = \frac{8,632.69}{1.469328} \approx 5,867.79$$

$$\text{Total PV} = PV_1 + PV_2 + PV_3 + PV_4 + PV_5$$
$$\text{Total PV} = 10,795.52 + 12,114.79 + 14,529.66 + 11,769.33 + 5,867.79 \approx 55,077.09$$

# Chapter 09

**Organizations** are structured groups of people working together to achieve specific goals. They have rational systems with structured rules, specialization, hierarchy, skilled staff & management, fairness, objectivity, and lack of personal bias or favoritism by management.

**Ideal bureaucratic organization:**
a. **Specialized roles** with accountability for job performance.
b. **Standardized rules** for task execution and coordination.
c. Clear hierarchy, each person **accountable to single manager.**
d. Impersonal, formal interactions to prevent personal biases.
e. Qualification-based recruitment, protection from arbitrary dismissal, and promotion by seniority and merit.

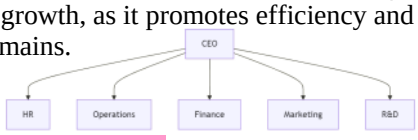
**Organic organizations:** A flexible, flat structure that promotes supportive relationships, decentralized decision-making, and open communication through cross-functional teams.
promotes creativity and adaptability in dynamic environments, allowing for quick responses to change.

**Matrix management:** team members report to multiple leaders (project manager + department head). flexible collaboration, particularly in project-based environments, help companies create more innovative products and services.

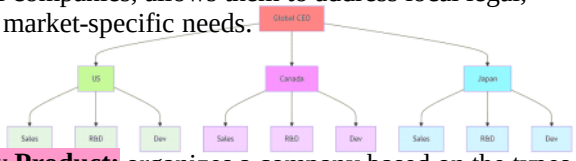
Faisal Ahmed

**How to structure organizations**

**Structure by Function:** organizes a company based on people specializations. This model is effective for large organizations aiming for growth, as it promotes efficiency and expertise in specific domains.



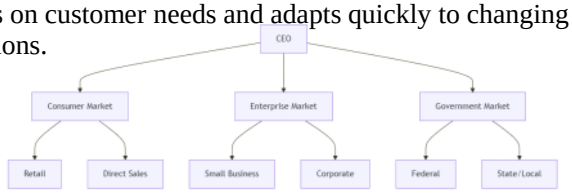

**Structure by geography:** organizes a company based on geographic regions. Each region acting as a distinct entity with its own management and decision-making authority. Setup useful for multinational companies, allows them to address local legal, cultural, and market-specific needs.




**Structure by Product:** organizes a company based on the types of products. Each product becomes a department in the organization. Enables companies to focus on each product's unique needs and challenges.




**Structure by market sector:** organizes a company around customer needs, focusing on specific market segments. This model centers on customer needs and adapts quickly to changing market conditions.




**Depth of structure:** number of layers. A structure can be deep or flat. In a deep structure, there are more hierarchical levels. Flatter structures have fewer layers and often a larger span of control for each manager. Larger organizations tend to have deeper structures. Flatter structures are often preferred by professional staff for streamlined communication.

**Centralized structure**: decision-making is concentrated at the top, All key decisions, actions at lower levels require top management approval.
**Decentralized structure:** authority is shared across all levels, making the organization more adaptable but possibly leading to inconsistent tools or processes.

**Setting up a structure in practice:** combining various organizational models to suit specific operational needs

# Chapter 10

HR employment laws regulate hiring, firing, workplace safety, benefits, pay, and confidentiality, protecting against discrimination and harassment while guiding conflict resolution. HR legal compliance ensures organizations follow these laws, aligning policies with state and federal regulations, staying updated on legal changes, and effectively communicating policies to employees to promote awareness of their rights and a unified company vision.

| Federal Laws in HRM | Desc |
|---|---|
| National Labor Relations Act (1935) | Grants workers the right to unionize. |
| Equal Pay Act (1963) | equal pay for all gender. |
| Civil Rights Act (1964) | Prohibits employment discrimination based on race, color, religion, gender, or origin. |
| Occupational Safety and Health Act (1970) | Ensures safe, hazard-free workplaces. |

## HR Compliance Issues

**1) Employee time tracking:** HR must Accurately track employee hours as required by fair labor standards Act including start and stop times and total hours worked

**2) Privacy:** HR must securely handle sensitive employee data (e.g., personal, financial, health information) to comply with data protection regulations and maintain confidentiality, especially during investigations.

**3) Employee benefits:** HR must ensure compensation in line with Federal laws that includes minimum wage, overtime pay, pensions, annual leave, sick pay.

**4) Discrimination**: HR is responsible for enforcing anti-discrimination laws, protecting employees from biased recruitment, promotions, termination based on factors like race, gender, and religion. employee can file a discrimination lawsuit if they feel discriminated by facing actions like termination or denied promotion

**5) Harassment:** HR must implement anti-harassment policies to ensure a respectful work environment and make these policies accessible to all employees. and training managers to effectively investigate harassment claims.

**6) Workplace Safety**: HR is responsible for a safe working environment, promote a culture of safety, provide training, and conduct regular risk assessments and documentation for incidents. All accidents must be documented and investigated.

## Common HR Lawsuits

**1) Breach of Contract**: Claims for unpaid salaries or bonuses below contracted amounts.

**2) Discrimination**: Complaints regarding gender, sexual, or racial discrimination.

**3) Wrongful Termination**: Claims of unjust dismissal without valid reasons.

**4) Contractual Obligation Failures**: Failure to meet agreed-upon contractual terms.

**5) Personal Injury**: Lawsuits related to workplace injuries.

**6) Unpaid Overtime**: Non-compliance with FLSA standards for non-salaried employees regarding unpaid overtime.

**7) Harassment**: Claims involving sexual harassment or bullying in the workplace.

| *Methods of Selection* |
|---|
| 1. Resume screening |
| 2. Phone screening |
| 3. Interview |
| 4. Group Interview |
| 5. Panel Interview |
| 6. Skills assessment |
| 7. Personality assessment |
| 8. Mock assignment/ Job audition |

**Nepotism**: Practice of favoring relatives (cousins, children), in hiring decisions. (unfair)

**Cronyism**: Practice of favoring friends or former colleagues in hiring decisions. (acceptable)

| | *Recruitment* | *Selection* |
|---|---|---|
| ***Definition*** | Finding and attracting qualified job applicants. | Evaluating applicants and choosing the best candidate. |
| ***Objective*** | Generate a large pool of candidates. | Identify and select the most qualified candidate. |
| ***Focus*** | Attracting talent. | Choosing the right fit. |
| ***Methods Used*** | Job postings, referrals, college recruiting. | Resume parsing, interviews, skill assessments. |
| ***Outcome*** | Pooling qualified applicants. | Selecting best candidate. |
| ***Process*** | First step in recruitment. | Next step after recruitment. |
| ***Role of HRM*** | Attracts a wide range of candidates. | Selects the most suitable candidate. |

## Types of Training

**1) Technical Training:** Teaches specific technology components relevant to a job. Can be delivered by internal or external trainers.

**2) Quality Training:** Teaches how to detect and eliminate causes of poor quality in products or services. Includes training on ISO standards, enhancing performance, reducing production costs.

**3) Skills Training:** Teaches specific job-related skills (e.g., operating machinery, sales techniques). Usually conducted by in-house resources.

**4) Soft Skills Training:** Teaches personal attributes like communication, ethics, and interpersonal skills. Aims to foster better workplace performance.

**5) Safety Training:** Teaches skills to maintain a safe working environment. Covers topics like fire drills, first aid, and hazard recognition, crucial for preventing workplace injuries.

***Examples:***

◆ **Amazon** provides New employees complete a 30-day training program + "Career Choice Program" covers 95% of tuition for in-demand courses

◆ **Etsy** provides training through established procedures and coaching, along with the "Etsy School," where employees can teach and learn various job-related skills.

**Remuneration Policy**: Compensation given to employees in exchange for their services, aka salary or wage. Remuneration Types: Monthly salary, Wage, Commission, Fringe benefits, Stock options.

## Example of compensation issues

**1) Internal Equity**: Means ensuring FAIR compensation for employees in related positions within the organization, is crucial to prevent employee turnover and legal issues. Internal pay equity involves aligning salaries and benefits with similar roles. Equal pay for equal work.

**2) External Equity**: Means how much other companies pay for similar talent. To attract and retain employees, organizations must offer competitive compensation in line with market rates. Underpaying leads to losing current employees and difficulty attracting new ones.

**3) Perceived Equity**: Means Employee perceptions of fair pay, can impact engagement and satisfaction. Even if salaries are equitable, employees may feel underpaid based on comparisons with peers, HR must manage workforce expectation around compensation.

**4) Executive Compensation**: Means crafting fair and motivating compensation packages for Executives and Senior Management is essential, given their strategic importance to the organization. Balancing the interests of shareholders and executives can be complex.

**5) Rewarding Specialized Jobs**: Means determining appropriate salary ranges for emerging roles, can be challenging due to a lack of data, Determining the impact of these salaries on departmental pay structures is problematic.

**6) Salary Growth**: New Employees often secure significant pay increases through negotiation, which can lead to disparities for existing employees. Companies need to establish clear policies on salary raises, taking into account inflation and market competitiveness.

**Job evaluation:** HR assessing job value within an organization to ensure fair compensation, set pay grades, determine starting salaries, award raises, and calculate bonuses.

Implementation steps:

1. Determine **evaluation criteria** like skill level, effort, responsibilities, and working conditions.
2. Develop a **rating scale** (e.g., 1 to 5) for each criterion.
3. Evaluate the job by having an evaluator rate it using the established scale.
4. Compare **ratings** against similar roles for fairness and comparability.

# Chapter 10 cont. + 11

**Performance Appraisal:** Assessing employee job performance based on predetermined expectations, analyzing strengths, areas for improvement, and growth potential.

## Performance Appraisal methods:

**1) Management by Objectives (MBO):** Managers and employees set specific goals together, reviewing progress regularly. Employees are judged by their results, Success leads to promotions or raises, while underperformance results in further training.

**2) 360-Degree Feedback:** Anonymous Evaluation method feedback from coworkers, supervisors, and subordinates, providing comprehensive insights into an employee's performance.

**3) Psychological Appraisals:** Assess employees' hidden potential and analyze interpersonal skills, cognitive and intellectual traits, leadership, personality, and emotional intelligence. Psychologists are hired to conduct interviews for these appraisals. Scenarios, such as handling an aggressive customer, are used to assess persuasion, behavior, and emotional response.

**Redundancy**: Form of employment termination initiated by the employer due to no fault of the employee.

**1. Voluntary *Redundancy*:** Employees opt to leave, often incentivized by being paid extra money by current employer.

+ve) Improves employee morale.
+ve) Gives employees control over exit
-ve) Expensive due to exit packages.
-ve) loss of skilled workers.

**2. Involuntary *Redundancy*:** Employer-driven termination

-ve) damages employee morale.
-ve) Legal risks if not handled correctly

**Dismissal**: The termination of employment by the employer.

**1. Fair Dismissal:** Must be for legitimate reasons (e.g., conduct, capability) and follow a fair process, including warnings and opportunities for improvement.

**2. Unfair Dismissal:** Occurs without just cause or a fair process, potentially leading to legal consequences and harm to the company's reputation.

-ve) damages employee morale.
-ve) Legal risks if not handled correctly

Employment law of ***redundancy***:

**Rights**: Employees are entitled to redundancy pay, notice periods, and consultations. **Obligations**: Employers must ensure a fair selection process and consider alternatives to redundancy.

Employment Law of Dismissal:

**Fair Dismissal**: Defines acceptable grounds for dismissal. **Wrongful Dismissal**: Occurs when an employer breaches the employment contract.

Managing ***Redundancy***

**Communication**: Provide clear reasons for redundancies.
**Support**: Explore alternatives like reduced hours and offer outplacement services.

Handling Dismissal

**Procedures**: Maintain a clear disciplinary policy with documentation.
**Grievance Handling**: Employees should be able to appeal their dismissal. HR must Strive for conflict resolution.

**Grievance:** Formal complaint filed by employee due to violations of workplace policies or contract terms.
In ***unionized*** settings, grievances arise when collective bargaining agreements are not met. In ***nonunionized*** workplaces, they typically involve misinterpretations or misapplications of company policies.

Grievance handling procedure for HR

| |
|---|
| 1. reporting |
| 2. Acknowledgment |
| 3. Investigation |
| 4. Evaluation |
| 5. Resolution |
| 6. Feedback |
| 7. Documentation |
| 8. Follow-up |

Job specialization often results in narrow and repetitive roles, leading to employee disengagement and dissatisfaction. The monotony of performing the same tasks day in and day out can diminish motivation and job satisfaction, ultimately leading to poor performance and high employee turnover.

To enhance job satisfaction HR does:

**1) Job Rotation:** employees switching tasks weekly, which helps maintain interest and improves department resilience. However, roles like payment processing cannot be included due to fraud prevention , and handling queries requires more expertise.

**2) Job enlargement:** Increases scope of the job by adding more tasks at the same level of responsibility and skill. goal is to increase variety of tasks

**3) Job enrichment:** increases employee's depth of their work. Goal is to enhance job satisfaction by making work more meaningful and engaging. e.g. Employee might ALSO be given responsibility to make decisions on completing tasks instead solving problems dependently.

# Chapter 11

**Discrimination:** unfair treatment of individuals or groups based on personal characteristics. Laws in Europe and the USA prohibit discrimination based on sex, race, ethnicity, disability, sexual orientation, religion, and age.

**1) Direct discrimination:** When a person is treated less favorably than others due to characteristics like sex or race e.g. paying a woman less than a man for the same job, refusing patients based on ethnicity, rejecting male applicants for a secretary role, specifying age and gender preferences in job ads.

**2) Indirect discrimination:** Employer applies rules which unintentionally disadvantage certain groups. e.g. Setting a minimum height requirement that excludes many women, prioritizing public housing for existing tenants' children, or requiring Saturday work, which affects those observing religious practices like the Jewish Sabbath.

**Gender discrimination:** Unfair treatment based on gender, leading to disadvantages in employment, education, housing, and credit.

**Discrimination by Association:** Treating someone unfairly due to their connection with a person of a particular race. e.g. A landlord refuses to rent to a couple because one partner is of a certain ethnicity, fearing it may affect the neighborhood's reputation.

**Discrimination by Perception:** Treating someone unfairly based on their assumed race, even if they do not belong to that race. e.g. Refusing to hire someone with an Arabic name due to the assumption that they are Muslim.

**Victimization:** When someone is treated unfairly due to their involvement in a discrimination or harassment complaint, regardless of whether they made it. It does not matter who made the complaint e.g. Jordan filed a grievance about ignored racist comments, and colleague Charlie supported them with a witness statement. Following this, Charlie received aggressive emails from a manager, and both were excluded from important meetings.

**Discrimination on Grounds of Disability:** Individual is treated unfairly because [1]They are disabled [2]They are connected to someone who is disabled (discrimination by association)[3]They are perceived to be disabled, regardless of their actual status (discrimination by perception). Mo is offered a job, but after disclosing their disability, the employer withdraws the offer and hires someone else. If the withdrawal was due to Mo's disability, this constitutes direct discrimination.

**Discrimination Arising from Disability:** Treating someone unfavorably due to circumstances resulting from their disability rather than the disability itself.e.g. Absences for hospital appointments. Behavioral changes due to medication. Needing regular rest or toilet breaks. Having an assistance dog.
Discrimination is not considered unlawful if the organization was unaware of the disability or if the employer has a '*objective justification*' (valid reason) for the discrimination

**Religious/Beliefs Discrimination:** Treating individuals differently based on their religious beliefs/practices, as well as lack of religious beliefs. *This includes moral or ethical beliefs too.* Beliefs may be considered religious even if not recognized by established religious groups. e.g. A woman was discriminated against by the St Vincent Society for not being Catholic, the tribunal ruled this as direct discrimination and $25,000 in favor of women.

**Age discrimination:** When individuals are treated unfairly due to their age, affecting both older and youth. e.g. A job candidate is rejected for being older after being asked their age in an interview, A manager pressures older people to retire due to their age, Salaries based more on seniority than performance.